Chapter Fifteen

State of Labour and Employment

Human labour produces all economic goods and services, using skills, tools and technology. Thus, labour plays a preeminent and critical role in the economic system, production of GDP and consumption of all goods and services sold in the economy.

In the agricultural age, the labour force used physical energy and manual skills, both natural endowments, to work the land. Acquisition of more skills and invention of some tools enabled the labour force to be more productive and branch out into the handicraft and handloom segments. After the invention of the steam engine and electricity, machines became more powerful and expanded the range of goods produced, leading to a transfer of labour from agriculture to industry. At some stage, machines started to substitute human labour. However, the advancement of the industrial economy gave rise to the requirement of numerous services: retail, finance, construction, and so on. Labour started plateauing in industry and getting absorbed in services. In the latest edition of technological advancement, especially the onset of digital technologies, a lot of service work is being done more efficiently and productively by digital programmes and applications and through the Internet. There has been a significant substitution of human labour in traditional services as well on account of increased use of digital technologies.

The requirements of the digital age are leading to several new services for consumption and investment. However, with agriculture, industry and services requiring much less human labour, we are likely to witness an epochal change. There is a lot of concern and debate about the future of